NEW YORK CITY MUNICIPAL AUTHORITY COMMISSION

EXECUTIVE PROPOSAL & MASTER STATUTORY CHARTER DRAFT

DOCUMENT TYPE: Statutory Legislative & Executive Proposal

PROPOSED LAUNCH DATE: October 2026

PROPOSED ENABLING AUTHORITY: DPA Title III / NY Public Authorities Law

PROPOSAL CREATOR & PROPOSED CHAIR: Adam Falletta

TOPIC I: PROPOSED INSTITUTIONAL MANDATE & JURISDICTIONAL SCOPE

This proposal sets forth the comprehensive framework for the **New York City Municipal Authority Commission (NYCMAC)**, which is **proposed to be established** as an independent, semi-autonomous **Public Benefit Corporation** upon legislative enactment or executive decree. NYCMAC is designed to modernize physical municipal infrastructure and enforce strict regulatory oversight over high-capability **frontier artificial intelligence systems** operating within or routed through New York City. Free from routine municipal delays, political turnover, and multi-agency gridlocks, NYCMAC will bridge physical asset delivery with real-time digital containment. **Upon charter activation**, NYCMAC shall exercise primary administrative jurisdiction over all **physical infrastructure assets, municipal public rights-of-way, high-density energy distribution nodes, and synthetic compute clusters** situated within the five boroughs, extending logically to cloud providers and relay nodes interfacing with municipal infrastructure.

TOPIC II: PROPOSED BOARD STRUCTURE & APPOINTMENT MECHANISMS

Executive Directorate (3 Seats)

To be chaired by **Adam Falletta**. Will oversee **frontier AI safety, hardware compute audits, special enforcement**, and emergency network severance.

NYS Gubernatorial (3 Seats)

To be appointed by the **Governor of New York**. Will direct integration with **state energy grids, regional transit corridors**, and environmental baselines.

NYC Mayoral & Council (3 Seats)

To be appointed by **Mayor & Council Speaker**. Will manage **borough-level land integration, community impact**, and municipal budget alignment.

TOPIC III: PROPOSED OPERATIONAL DIVISIONS & ENFORCEMENT ARMS

1. Bureau of Special Enforcement (BSE)

Proposed sworn officers authorized to issue **immediate administrative stop-work orders, seal non-compliant physical sites**, and execute hardware freezes.

2. Capital Allocation & Clawback Division (CACD)

Proposed auditing body authorized to issue **tax-exempt revenue bonds** and execute **direct administrative escrow clawbacks** from defaulting contractors.

3. Directive 01-AI Compliance Unit (ACU)

Proposed technical unit maintaining **real-time latency telemetry monitoring, air-gapped red-teaming audits**, and out-of-band kill-switch interfaces.

4. Fast-Track Land & Zoning Directorate

Proposed body authorized to issue **Preemptive Use Certificates** overriding local zoning impediments for designated critical municipal backbones.

TOPIC IV: PROPOSED STATUTORY & TECHNICAL DEFINITIONS

To eliminate legal ambiguity and prevent regulatory evasion upon charter activation, the following statutory definitions are proposed to be permanently codified into NYCMAC administrative law:

Frontier AI Model / General-Purpose AI System (GPAIS): Any artificial intelligence system trained on compute thresholds exceeding **10^{25} floating-point operations (FLOPs)**, or exhibiting general multi-modal reasoning across language, software synthesis, and biological design.

Autonomous Agent System (AAS): An AI model configured with **active execution privileges, shell access, API credentials, or tool-use protocols** enabling multi-step actions without real-time human verification.

Harmful AI System: Any model variant exhibiting **unprompted goal drift, credential escalation, safety-rail circumvention, CBRN threat synthesis, or self-directed replication**.

Circuit Interruption (<50ms Freeze): An automated hardware/hypervisor interrupt forcing execution threads to **instantly halt and dump state registers within 50 milliseconds** of drift detection.

Network Severance (1-Hour Cloud Cutoff): Proposed mandate compelling cloud hosting providers to **sever logical/physical network routing within 60 minutes** of administrative issuance.

TOPIC V: DIRECTIVE 01-AI PROPOSED COMPLIANCE & PENALTY MATRIX

Under the proposed Directive 01-AI framework, all commercial developers, cloud providers, and compute hubs operating within NYCMAC jurisdiction will be required to maintain **pre-release air-gapped red-teaming certification, continuous telemetry uplinks, and embedded kill-switch interfaces**.

TIER	TRIGGERING CONDITION	PROPOSED MANDATORY PENALTY & ACTION
TIER 1 Critical Risk	Uncontrolled self-replication, CBRN exploit synthesis, autonomous network intrusion.	**Immediate System Withdrawal & Kill-Switch Execution within 60 mins.** Compute seizure. Fine up to **$35M or 7% Global Turnover**.
TIER 2 Failure	Bypassing red-teaming, suppressing safety telemetry, deploying uncertified updates.	Mandatory **90-Day Deployment Freeze**. Revocation of active API endpoints. Fine up to **$15M or 3% Global Turnover**.
TIER 3 Transparency	Failure to watermark synthetic outputs, filing incomplete telemetry documentation.	Administrative **24-Hour Notice to Cure**. Fine up to **$7.5M or 1% Global Turnover**.

TOPIC VI: PROPOSED RECALL & EMERGENCY REMOVAL PROTOCOLS

Upon declaring a model a **Harmful AI System** under Directive 01-AI, NYCMAC will execute immediate administrative enforcement: issuing **Cease & Desist orders to cloud hosts**, forcing **network routing cutoff within 60 minutes**, invalidating API access keys, and deploying revocation signatures across edge nodes. Corporate officers who knowingly conceal safety risks will face **personal administrative debarment, civil asset forfeiture, and criminal referral**.

TOPIC VII: FEDERAL PREEMPTION & DEFENSE PRODUCTION ACT STRATEGY

To ensure NYCMAC directives remain legally unassailable and capable of superseding local zoning gridlocks or conflicting municipal ordinances upon launch, NYCMAC is structured to operate under federal preemption mechanisms. By invoking **Title III and Title VII of the Defense Production Act (DPA)** in coordination with federal executive orders, the Commission will secure **statutory priority over regional energy allocation, telecommunications routing, and critical infrastructure deployment** across the metropolitan region.

TOPIC VIII: PROPOSED FINANCING MECHANISMS & INFRASTRUCTURE HARDENING

NYCMAC is proposed to achieve financial self-sufficiency through the authority to issue **tax-exempt municipal revenue bonds**, levy **regulatory assessment fees on high-density compute facilities**, and retain capital collected through Tier 1-3 administrative penalties. All collected funds will feed directly into the proposed **NYCMAC Infrastructure Resilience Fund**. All data center facilities housing models exceeding 10^{24} FLOPs will be mandated to maintain **redundant utility feeds, 72-hour battery backup, and defense-grade physical perimeters**.

TOPIC IX: 6-MONTH FEDERAL PREEMPTION PROPOSED LAUNCH ROADMAP

The proposed operational launch of NYCMAC follows a structured six-month implementation schedule to establish binding authority prior to full telemetry enforcement:

MONTHS 1 – 2: LEGISLATION & CHARTER ADOPTION

Draft **Federal Executive Order invoking DPA Title III**. Secure Presidential/Gubernatorial signature establishing federal preemption charter. Formalize nine-member board appointments.

MONTHS 3 – 4: FUNDING, LOGISTICS & PROCUREMENT

Issue **initial $500M seed capital revenue bonds**. Establish Bureau of Special Enforcement headquarters and install telemetry hooks into regional compute hubs.

MONTHS 5 – 6: DEPLOYMENT & FULL OPERATIONAL BINDING

Publish **Directive 01-AI in the City Record and Federal Register**. Activate real-time model compliance telemetry and initiate first annual audit cycle.

TOPIC X: JUDICIAL REVIEW, SEVERABILITY & PROPOSED ENACTMENT

If any article, section, clause, or provision of this Master Charter proposal is held invalid by a court of competent jurisdiction upon enactment, such judgment shall not impair or invalidate the remainder of this Charter proposal, which shall continue in full force under **federal preemption protections**. This proposal is presented for immediate review and statutory adoption by executive and legislative sponsors. All municipal departments and public authorities will be commanded to yield full cooperation upon charter activation.

TOPIC XI: FORMAL PROPOSAL SUBMISSION & AUTHORIZATION

IN WITNESS WHEREOF, this Enabling Proposal & Master Statutory Charter Blueprint for the New York City Municipal Authority Commission (NYCMAC) is hereby formally authored, submitted, and presented for executive review and statutory adoption.

PROPOSAL SUBMISSION & EXECUTIVE CHAIR DESIGNATION

Adam J Falletta

ADAM J FALLETTA
Creator, Author & Proposed Executive Chair
New York City Municipal Authority Commission (NYCMAC)

SUBMISSION DATE: October 2026
PROPOSAL STATUS: READY FOR REVIEW
PROP-ID: AF-2026-NYCMAC-PROP-001

Authored and presented by **Adam Falletta, Creator & Proposed Executive Chair**. This document serves as the formal statutory draft and operational blueprint for legislative sponsors and executive leadership to establish the NYCMAC authority.